

How few laymen seemed to care about investing was brought home to Wall Street more forcefully with every passing year of the unprosperous post-Crash era. Just when it seemed that trading volume could get no smaller, or New York Stock Exchange seat prices no lower, or equity valuations more absurdly cheap, a new, dispiriting record was set. It required every effort of the editors of the Big Board's house organ, the *Exchange* magazine, to keep up a brave face. "*Must There Be an End to Progress?*" was the inquiring headline over an essay by the Swedish economist Gustav Cassel, published around the time of the release of Graham and Dodd's second edition in 1940 (the professor thought not).³ "Why Do Securities Brokers Stay in Business?" the editors posed and helpfully answered, "Despite wearying lethargy over long periods, confidence abounds that when the public recognizes fully the value of protective measures which lately have been ranged about market procedure, investment interest in securities will increase." It did not amuse the Exchange that a New York City magistrate, sarcastically addressing a collection of defendants hauled into his court by the police for shooting craps on the sidewalk, had derided the financial profession. "The first thing you know," the judge had upbraided the suspects, "you'll wind up as stock brokers in Wall Street with yachts and country homes on Long Island."⁴

In ways now difficult to imagine, Murphy's Law was the order of the day; what could go wrong, did. "Depression" was more than a long-lingering state of economic affairs. It had become a worldview. The academic exponents of "secular stagnation," notably Alvin Hansen and Joseph Schumpeter, each a Harvard economics professor, predicted a long decline in American population growth. This deceleration, Hansen contended in his 1939 essay, "together with the failure of any really important innovations of a magnitude to absorb

³ Gustav Cassel, "Must There Be an End to Progress?" *Exchange*, January 1940.

⁴ *Exchange*, "Why Do Securities Brokers Stay in Business?" September 1940.